COVER STORY

INVEST THE WAY SUCCESSFUL INVESTORS DO

Admiring and drawing inspiration from heroes can be productive, especially when it comes to investing in the stock markets

By Narayan Krishnamurthy

We all have heroes we look up to. Inadvertently, we start to imitate them—the way they dress, their mannerisms, behaviour and so on. There is nothing wrong in aspiring to be successful or to take inspiration to grow like successful people. There is a lot that one could learn from observing others so that they do not commit mistakes that some of these successful people may have committed. When it comes to investing, there is a lot that new as well as seasoned investors could learn from stalwarts who have been successful investors.

Copycat or coattail investing is well known. It is the strategy of replicating the investment ideas of successful and famous investors or investment managers. However, following the investment strategy adopted by a famous investor need not necessarily result in success for every investor, but the chances of succeeding go up. What you could learn as an investor is to focus on the principles and thoughts that go into formulating an investment strategy, understand it and adapt it to suit your individual needs.

Many investors who have formulated their success formula often have succeeded in a market other than India and there are references from a different era. For instance, the most often referred and revered investment guru Warren Buffet has been an investor for most of his life and many of his investments have been held by him for decades! At the same time, he has missed several opportunities as well—such as the tech boom and investing in technology companies early on—simply because he stated that he did not understand their business.

While one could laugh at him for his naïve behaviour, the lesson for you could be to invest in sectors even when you don't understand them but see potential in them. He has also openly talked of his investment failures as much as his successes which form lessons for investors in subsequent generations. The thing with following the formula of successful investors is like learning classical music from a particular school or region. The fundamentals strengthen your hold on the subject, which once it is honed well allows you to develop to suit your capacity, understanding and ability.

When it comes to investing, it is not just about growth. There is a lot that is often understated about the risk associated with investing. Over time, investment strategies have emerged that are followed by individuals as well as professionals to create and manage portfolios. Depending on the risk that an investor could take, the strategy could be conservative or aggressive. It also depends on the investment goal an individual has, the time frame to achieve the goal and the risk one can take to achieve it.

An investment style can be broadly defined by the emphasis a manager's investment process places on the characteristics of the stocks purchased for portfolios. With proper knowledge and guidance, you can gain confidence in managing your portfolio. Remember, the fundamental principles of investing such as asset allocation, risk management, market timing and rebalancing are taken into account when following any investment style.

ESSENTIAL INVESTMENT STYLES

Before getting further, it is important to know that no investment strategy is likely to produce market-beating